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China Materials | Asia Pacific

China Trip Takeaways – Day 1

On day 1 of our China trip, we met with steel, lithium, glass fabrics and molybdenum companies and experts.

Copper remains fundamentally tight despite macro sentiment: Physical copper conditions appear considerably tighter than macro indicators imply. Scrap availability has fallen materially following tighter invoicing rules, with an estimated ~700 kt YoY decline in scrap copper rod supply due to scrap without invoices being unable to enter the supply chain. That said, Jiangxi province is starting testing small volumes for which the reverse VAT control is relaxed. Whether this will lead to full scrap supply increases in 2027 is still to be seen. SMM expects China copper demand to be roughly +1% in 2026 before recovering to around +2% in 2027, while concentrate growth is also undershooting prior expectations. With current spot TCRC at US\$-200/t the outlook for 2027 annual TCRC negotiation looks challenging.

Lithium: Battery/ESS demand is the most bullish—and could offer the most upside surprise: Battery-chain feedback was exceptionally strong: inventories appear low, copper foil and battery-cell capacity are already tight, and several participants expect shortages to persist into 2027 if new capacity approvals remain constrained. One consultant estimates total 2026 battery demand at 3.2–3.3 TWh and expects >30% demand growth in 2027, driven largely by ESS, which could grow ~50% YoY in 2027 after 80–90% growth in 2026. On the supply side, the expectation is at most 25% YoY growth, around a 500kt increase, assuming supply at Jianxiawo and other Jingxi lepidolite mines comes back in 2027, which is not certain. These numbers imply material upside risk to lithium prices if realized.

AI-related electronic materials remain among strongest structural growth themes: Grace Fabric sees sustained shortages in high-end glass fabric, particularly L-DK2/T-glass and ultra-thin products, with customers prioritising volume over price. Low DK2 pricing continues to rise. Low DK1 prices are also expected to increase, and tightness could persist through 2027 given long equipment lead times and qualification cycles. Japan's delayed expansion further extends the favorable supply-demand window.

Steel: China industrial demand remains uneven, but several high-end manufacturing pockets are clearly outperforming: Traditional demand remains soft, particularly property-linked steel and appliances, while shipbuilding, construction machinery, grid-related electrical steel and other higher-end manufacturing applications remain comparatively strong. Baosteel expects 3Q production to improve QoQ, though its FY26 steel output could still decline YoY amid government production controls. Export economics are becoming less attractive as trade barriers rise.

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GREATER CHINA MATERIALS

Asia Pacific

Industry View

Attractive

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Baosteel

We met with IR from Baosteel in Shanghai on September 7. Key takeaways from our meeting follow.

3Q might be the most challenging quarter YTD, with pressure on margins. Customers have shown limited acceptance of price increases, and the increase in costs cannot be fully passed through. The industry's profitability is still better than in 3Q24, while Baosteel might face larger pressure due to its higher exposure to cold-rolled products, which have been weaker than hot-rolled products YTD.

Overall downstream demand may see a seasonal improvement. Auto production schedules are seasonally improving in September–October, supporting marginal improvement of pricing for cold-rolled products. Shipbuilding remains the strongest end-market, while construction machinery is rebounding on export demand and a low base. Grain-oriented electrical steel demand is relatively solid, supported by the domestic power grid and overseas AI demand.

Baosteel maintains coking coal raw-material inventory of around half a month. When prices began to rise, the company locked in an additional one to two months of volume under long-term contracts.

Baosteel's steel export volume is expected to exceed 7mnt this year, versus 4.14mnt in 1H and 6.5mnt last year. As trade barriers and tariffs rise, export margins have narrowed, with some now below domestic levels. The company expects domestic export pressure to increase, but plans to continue expanding exports and views internationalization as a strategic capability.

Steel producers (esp. SOEs) still face output constraints this year.

The Saudi project remains stalled because raw materials and products would need to pass through the Strait of Hormuz. Even if the project resumes, previously agreed terms may need to be renegotiated.

Management expects to maintain a minimum DPS commitment and believes cash flow is sufficient to support it. The commitment is expected to be provided by the next annual report at the latest.

Copper Expert

We met with Mr. Ye, Jianhua from Shanghai Metals Market (SMM) in Shanghai on September 7. Key takeaways from our meeting follow.

Copper smelters that consume spot concentrate are starting to make losses of Rmb3500-5000/t due to the material decline in spot TCRC and the recent correction in sulfuric acid prices, according to SMM data. However, Mr. Ye thinks it's difficult to expect production cuts from Chinese smelters, given the strong profit made in the first half this year.

Scrap copper rod production may decline ~700kt YoY due to reverse invoicing mechanism implemented by the government. Mr. Ye mentioned that around 300-400kt scrap copper supply was impacted due to lack of invoicing capability in China, supporting the consumption of refined copper and driving the de-stocking of copper in the domestic market. Overall incremental volume is limited, despite the smelters who use scrap copper seeking more imports due to tight domestic supply.

Mr. Ye noted a slight relaxation in the reverse invoicing policy in Jiangxi province, which accounts for ~50% of the scrap copper consumption capacity. If applied successfully, the policy may be relaxed in other provinces, such as Hubei and Anhui. This could increase the scrap copper supply in the domestic market and lower refined copper consumption next year.

Mr. Ye expects a >1% YoY and >2% YoY increase in copper consumption in 2026 and 2027 respectively. The slight increase in copper consumption this year is mainly driven by better exports and still solid demand from power, transportation, and renewable energy sectors. Demand growth from property and white goods industries remains in negative trajectory or flattish YoY.

Mr. Ye estimates total copper demand from AI at ~750kt globally this year and believes it will increase to 1.25-1.3mnt by 2030. Total copper consumption from AI could rise 200-300kt YoY in 2026.

CMOC

We met with IR from CMOC in Shanghai on September 7. Key takeaways from our meeting follow.

QoQ copper production cost increases were Rmb2–3k/t in 2Q, and are expected to be Rmb1.4-2k/t in 3Q, considering moving averages of raw material cost increases, partially offset by the company's cost saving efforts.

Cobalt sales recognized in 3Q could double vs. 2Q. As 4Q shipment volume needs 2-3 months to be sold externally, full-year sales volume might reach ~25kt at most.

CMOC has secured full-year requirements for sulfur and sulfuric acid, comprising around 700kt of sulfur and 300–400kt of sulfuric acid, via mine inventory, in-transit volumes, and placed orders. Higher sulfur, sulfuric acid and diesel prices are expected to increase full-year costs by Rmb2bn.

With expansion of T&K completed, annual copper production might reach 1.1mnt in 2029–30, and potential 1.2mnt considering overproduction.

Power supply for the DRC expansion is being developed through a 600MW solar project, scheduled to enter operation by year-end to support KFM Phase II, and a 200MW hydropower project for TFM Phase III, where dam construction is underway.

The potential equity transfer of DRC subsidiaries remains uncertain, and the company is actively negotiating with the government. CMOC currently holds 95% in KFM and 80% in TFM.

CMOC has booked ~US\$50mn windfall tax provision in 1H, with full-year amount expected to reach Rmb1bn.

The decline in tungsten production in recent years was mainly constrained by ore grade rather than production quotas.

Ganfeng Lithium

We met with IR from Ganfeng Lithium in Shanghai on September 7. Key takeaways from our meeting follow.

Ganfeng targets more than 300kt of attributable lithium output from self-owned mines by 2030, versus around 130kt this year, becoming the largest lithium producer globally based on attributable volume. The growth mainly comes from most existing projects doubling capacity or more. Commencement timeline of expansions are expected to be: Goulamina in mid-2028, PPG end-2028, CO project in 2029.

Management expects lithium supply to grow ~25% YoY in 2026, assuming resumed production from Jianxiawo and normal exports from Zimbabwe.

Ganfeng's battery output will reach 40+GWh this year and 55–60GWh next year.

The potash project in the Republic of the Congo is designed for 2mntpa of potassium chloride from underground mining, with an estimated delivered cost of US\$150/t at full production. Most output is expected to be sold overseas at close to US\$400/t, while 20–30% would be sold to China at the long-term contract price.

Sodium-ion batteries' development face multiple constraints, including high lithium prices, low phosphate prices, and also production capacity expansion of some raw materials.

Lithium Battery Industry Chain Expert

We met with Alfred Hu from ZE Consulting in Shanghai on September 7. Key takeaways from our meeting follow.

Battery manufacturers are competing for materials including copper foil, cathode, anode and iron phosphate, due to supply tightness. Iron phosphate supply is 60–70% self-supplied and 30–40% externally sold, with CNGR and Tinci among the main external suppliers.

Lithium supply is expected to increase by 500kt/~25% YoY in 2026, from ~2.15mnt LCE this year. The estimate includes incremental supply from Jianxiawo mines, and assumes other Jiangxi mines that are due for permit renewals can resume production next year. This may not be certain under the current tightened regulatory environment.

Mr. Hu expects lithium demand to grow 30% YoY in 2026. He thinks this is conservative, as assuming the run-rate of battery production in Sept 2026 continues into 2027 already indicates such growth. Major battery producers are indicating at least 50% YoY demand growth to their suppliers for next year, with some even over 100%. ESS battery shipments are expected to grow 80–90% YoY this year and 50% YoY next year.

In the near term, **battery production is expected to increase 5–6% MoM in September** and 3–5% MoM in each subsequent month in 2026.

Mr. Hu **expects ternary battery production to grow more than 20% YoY this year and more than 10% YoY next year**, versus a low of 5–6% in recent years. This year's growth is mainly driven by larger battery size.

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Total	3,694		939			1754	

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INDUSTRY COVERAGE: Greater China Materials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (09/07/2026)
Chris Jiang		
Anhui Honglu Steel Construction (002541.SZ)	U (12/16/2025)	Rmb20.35
CGN Mining Co Ltd (1164.HK)	O (01/18/2023)	HK\$2.46
Chengxin Lithium Group Co. Ltd. (002240.SZ)	E (12/16/2025)	Rmb29.26
GEM Co Ltd (002340.SZ)	U (04/20/2026)	Rmb6.41
Shenzhen Kedali Industry Co Ltd (002850.SZ)	O (08/21/2023)	Rmb178.83
Sinomine Resource Group Co Ltd (002738.SZ)	O (12/16/2025)	Rmb47.93
Yongxing Special Materials Technology (002756.SZ)	E (11/25/2022)	Rmb42.94
Zhejiang Huayou Cobalt Co Ltd (603799.SS)	O (10/08/2025)	Rmb37.98
Hannah Yang, CFA		
China Hongqiao Group (1378.HK)	O (09/15/2023)	HK\$23.16
Chuangxin Industries Holdings Ltd. (2788.HK)	O (03/19/2026)	HK\$17.08
Flat Glass Group Co Ltd (6865.HK)	O (07/30/2020)	HK\$6.70
Flat Glass Group Co Ltd (601865.SS)	O (07/30/2020)	Rmb9.98
MMG Ltd (1208.HK)	O (12/16/2024)	HK\$9.13

Shandong Pharmaceutical Glass Co. Ltd. (600529.SS)	U (04/20/2026)	Rmb18.83
Shenhua Coal and Power (000933.SZ)	O (09/02/2025)	Rmb26.95
Tianshan Aluminum (002532.SZ)	E (07/08/2026)	Rmb12.96
Xinyi Glass Holding Limited (0868.HK)	U (05/14/2024)	HK\$9.15
Zhongfu Shenying Carbon Fiber Co Ltd (688295.SS)	O (08/25/2023)	Rmb38.02
Rachel L Zhang		
Aluminum Corp. of China Ltd. (601600.SS)	O (11/30/2020)	Rmb9.54
Aluminum Corp. of China Ltd. (2600.HK)	O (11/30/2020)	HK\$8.83
Baoshan Iron & Steel (600019.SS)	O (01/16/2016)	Rmb5.75
Beijing New Building Materials (000786.SZ)	O (04/09/2024)	Rmb16.30
Beijing Oriental Yuhong Waterproof Techn (002271.SZ)	E (09/25/2024)	Rmb10.84
China Jushi (600176.SS)	O (12/22/2020)	Rmb41.70
China Lesso Group Holdings Ltd (2128.HK)	U (10/08/2025)	HK\$3.45
China Steel Corp. (2002.TW)	U (12/16/2025)	NT\$19.00
CMOC Group Ltd (3993.HK)	O (09/24/2019)	HK\$16.37
CMOC Group Ltd (603993.SS)	O (06/21/2024)	Rmb18.37
CNGR Advanced Material Co., Ltd. (300919.SZ)	E (01/12/2026)	Rmb38.95
CNGR Advanced Material Co., Ltd. (2579.HK)	O (01/12/2026)	HK\$24.78
FangDa Carbon New Material Co. Ltd. (600516.SS)	U (12/16/2024)	Rmb5.18
Ganfeng Lithium Co. Ltd. (002460.SZ)	O (04/20/2026)	Rmb48.86
Ganfeng Lithium Co. Ltd. (1772.HK)	O (12/16/2025)	HK\$36.42
Henan Liliang Diamond Co. Ltd (301071.SZ)	U (04/20/2026)	Rmb61.38
Jiangsu Dingsheng New Materials (603876.SS)	U (04/20/2026)	Rmb20.16
Jiangxi Copper (0358.HK)	O (10/08/2025)	HK\$36.60
Jiangxi Copper (600362.SS)	O (10/08/2025)	Rmb46.02
JL Mag Rare-Earth Co. Ltd (6680.HK)	O (04/23/2025)	HK\$16.57
JL Mag Rare-Earth Co. Ltd (300748.SZ)	O (04/23/2025)	Rmb26.16
Nine Dragons Paper (2689.HK)	E (01/04/2023)	HK\$6.53
PT Merdeka Gold Resources Tbk (6228.HK)	O (08/04/2026)	HK\$38.30
Shandong Gold Mining Co. Ltd (600547.SS)	E (07/09/2026)	Rmb36.45
Shandong Gold Mining Co. Ltd (1787.HK)	E (07/09/2026)	HK\$25.80
Shandong Nanshan Aluminium Co. (600219.SS)	E (07/08/2026)	Rmb4.87
Tianqi Lithium Industries Inc. (9696.HK)	O (12/16/2025)	HK\$34.56
Tianqi Lithium Industries Inc. (002466.SZ)	O (04/20/2026)	Rmb45.26
Weixing New Building Materials (002372.SZ)	U (10/08/2025)	Rmb8.53
Zhaojin Mining Industry (1818.HK)	E (07/09/2026)	HK\$21.88
Zijin Gold International (2259.HK)	O (11/06/2025)	HK\$159.70
Zijin Mining Group (2899.HK)	O (11/06/2025)	HK\$35.92
Zijin Mining Group (601899.SS)	O (11/06/2025)	Rmb32.87

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* Historical prices are not split adjusted.